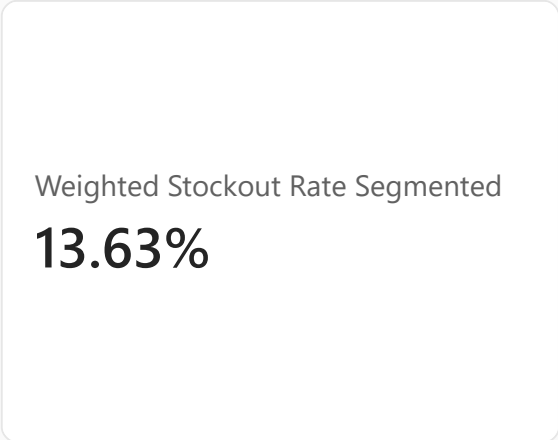


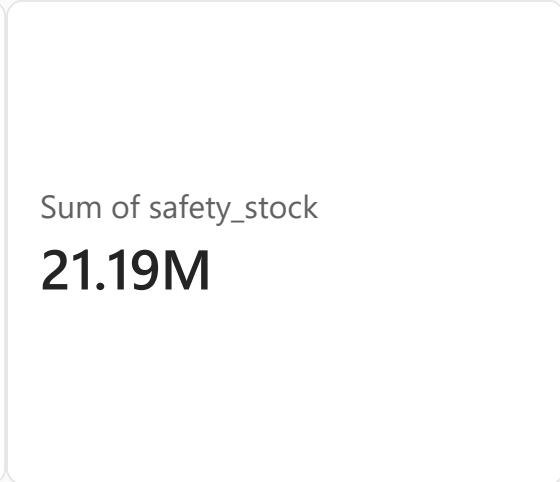
Stockout Risk — Segmented Policy



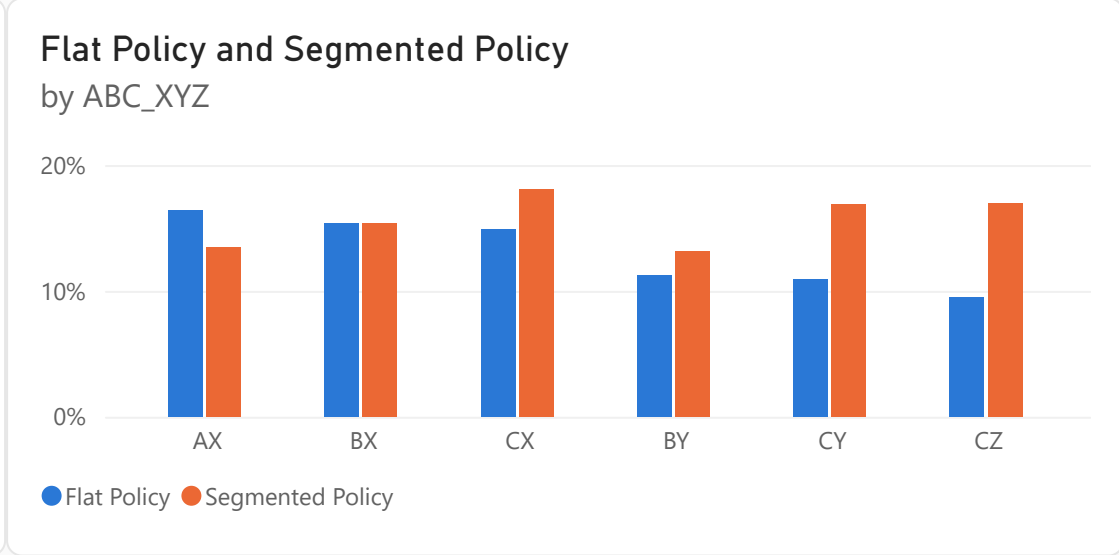
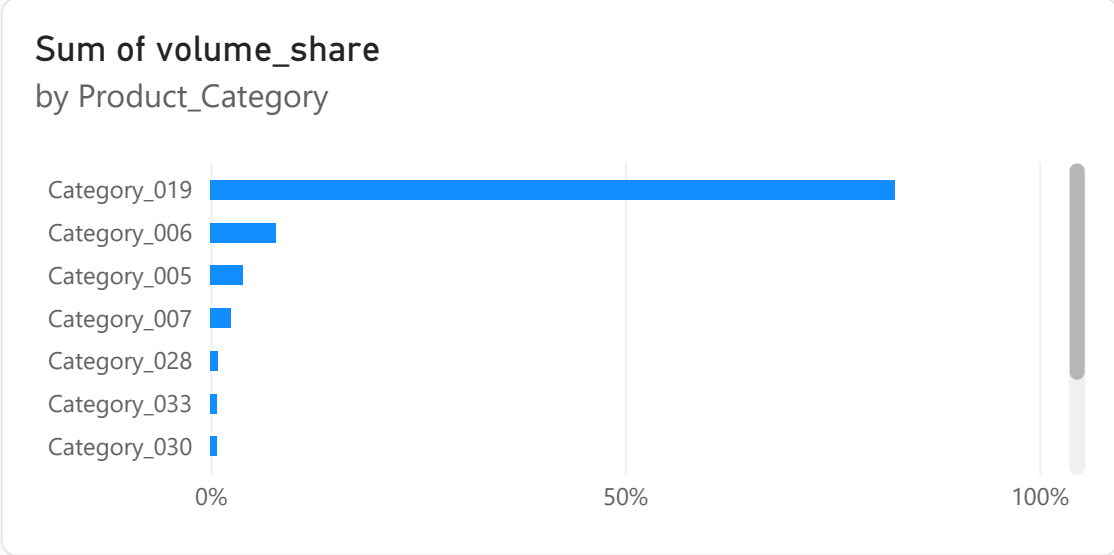
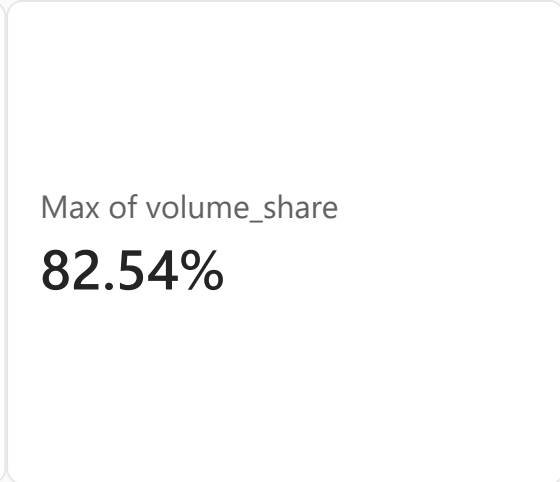
Stockout Risk — Flat Policy



Total Safety Stock Held



Top Category Demand Share



From the 33 product categories across the 4 regional warehouses, Category_019 dominated demand, accounting for 82.5% of total volume. Because a stockout here would affect the largest share of overall demand, the segmented inventory policy holds more safety stock overall (+14.4%) but allocates it deliberately by protecting high-volume, predictable categories while accepting higher risk on low-volume, erratic ones. The result: total stockout risk falls from 15.95% to 13.63%, without a proportional increase in inventory cost.